# Market Survivor — Legal & SEBI Compliance Review

15 Oct 2026 · Naman

**Bottom line:** Market Survivor is legal to offer in India in principle — free virtual coins make it an "online social game", and no real money or orders touch a market — but it should not go live as built. Four things are most likely to draw a notice: real listed-company names shown with invented prices (SEBI warned on 4 Nov 2024 that games "based on stock price data of listed companies" breach securities law), the NSE-owned "Nifty 50" and "Bank Nifty" names, no age gate for an audience that includes under-18s, and no privacy notice, terms or grievance contact. All four are fixable in content and copy within the current build.

The planned Prediction desk and Time Machine carry the highest risk and should not ship without a lawyer's sign-off. This is a research brief for counsel, not legal advice.

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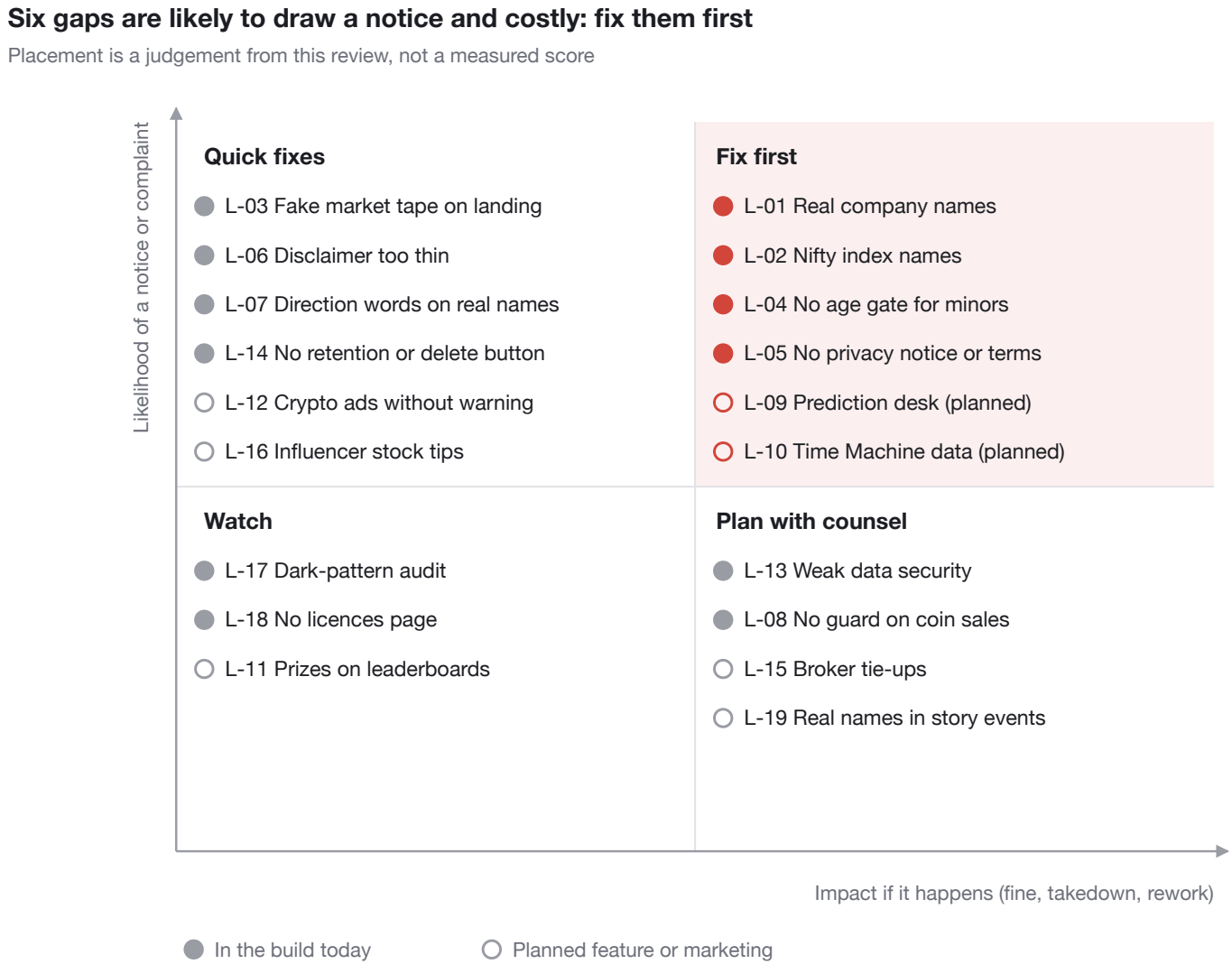
## Issue register

19 gaps: 12 to fix before launch (8 rated high risk across the register), 5 that block a planned feature, 2 ongoing marketing rules. Detail and sources for each rule are in the sections below.

| ID | Issue | Rule | Where in the game | Risk | Fix | Fix by | Status |
|---|---|---|---|---|---|---|---|
| L-01 | Real listed-company names shown with made-up prices | SEBI caution 4 Nov 2024; Trade Marks Act s.30 | `packages/content/src/universe.ts` (39 stocks); every price screen, chart and city tower | High | Fictional companies per sector, or a written legal opinion plus "simulated, not affiliated" labels | Before launch | Not started |
| L-02 | "Nifty 50" and "Bank Nifty" computed and shown as game indices | NSE Indices terms (written consent needed) | `universe.ts` INDICES; Treasury bar, World desk, halt card, alerts in `server/careers.ts`, landing tape | High | Rename to fictional indices everywhere players see them | Before launch | Not started |
| L-03 | Landing page "market tape" looks like live market data but is invented | Consumer Protection Act 2019; ASCI code | `components/MarketSurvivor.tsx` | Medium | Remove, or show in-game values labelled "In-game world" | Before launch | Not started |
| L-04 | No age check; audience includes under-18s | DPDP Act s.9, Rule 10 | Career creation and landing | High | 18+ age gate at launch, or verifiable parental consent and no profiling for minors | Before launch | Not started |
| L-05 | No privacy notice, terms of use or grievance contact | DPDP notice duty; Online Gaming Rules 2026 grievance mechanism | Whole app | High | Publish Privacy Notice and Terms, name a grievance officer, add an in-app complaint form | Before launch | Not started |
| L-06 | Disclaimer does not say prices are simulated or that the game is unaffiliated and unregistered | design.md rule; SEBI caution | Game footer, landing page | Medium | Extend the disclaimer line (wording in the Advertising section) | Before launch | Not started |
| L-07 | Direction words attached to real names (factor strip, "why markets moved", alerts, mentor lines) | SEBI IA / RA rules; 30-day price-data rule | `components/stocks/StockTerminal.tsx` factor strip; alerts; story dialogue | Medium | Fictional names (L-01), or reword as in-game mechanics with no real-security calls | Before launch | Not started |

| ID | Issue | Rule | Where in the game | Risk | Fix | Fix by | Status |
|---|---|---|---|---|---|---|---|
| L-08 | Nothing in code or terms stops coins being sold or cashed out later | Online Gaming Act 2025, "other stakes" | Economy in prd.md; future monetisation | High | Terms + code guard: no coin purchase, no cash-out, no rewards redeemable outside the game | Before launch | Not started |
| L-09 | Prediction desk = YES/NO event contracts, including war and election events | Online Gaming Act 2025; SEBI opinion-trading caution, Apr 2025 | Planned PREDICTION desk | High | Defer, or coins only, fictional events only, renamed "forecast challenge" | Before that feature ships | Not started |
| L-10 | Time Machine replays real listed-company prices | SEBI caution 4 Nov 2024; NSE data terms; 30-day rule | Planned Time Machine mode and calibration pipeline | High | Licensed data, ≥ 30 days old, no prizes, legal sign-off; or anonymised replays | Before that feature ships | Not started |
| L-11 | Leaderboards and challenges could gain prizes | SEBI 2016 caution on prize leagues; Gaming Rules review of contests | Planned Daily Challenge, leaderboards | Medium | Virtual rankings only; never cash, vouchers or sponsor prizes | Before that feature ships | Not started |
| L-12 | Crypto desk in marketing without the ASCI warning | ASCI VDA guidelines 2022 | Planned CRYPTO desk; trailers and posts | Medium | ASCI disclaimer on every crypto ad; same warning inside the desk | Before that feature ships | Not started |
| L-13 | Data stored as plain JSON; career seeds unencrypted; no breach plan | DPDP s.8(5), s.8(6) | `apps/web/src/server/store.ts`, `server/careers.ts` | High | Postgres with encryption at rest, hashed seeds, access logs, 72-hour breach runbook | Before launch | Not started |
| L-14 | No retention limit, no delete-my-data, hosting region unchosen | DPDP retention; Gaming Rules data retention in India | Store and deployment | Medium | Retention policy, delete button, Indian-region hosting for DB and logs | Before launch | Not started |
| L-15 | Broker or AMC tie-ups and referral links | SEBI association ban, Aug 2024 | Future partnerships | Medium | No tie-ups, affiliate links or demat CTAs until a lawyer clears them | Ongoing | Not started |
| L-16 | Influencers posting stock tips while promoting the game | ASCI influencer rules, Aug 2023 | Launch marketing | Medium | Creator brief: game only, no picks, "ad" label | Ongoing | Not started |
| L-17 | Streaks, challenges and alerts not checked for dark patterns | CCPA dark-pattern guidelines 2023 | Planned engagement features | Low | Written self-audit; no fake urgency or guilt copy; easy exit and deletion | Before launch | Not started |
| L-18 | No open-source licences page | lightweight-charts Apache-2.0 NOTICE; MIT; OFL | Settings / footer | Low | Licences page with TradingView NOTICE, three.js, fonts | Before launch | Not started |
| L-19 | Story chapters could name real parties, leaders or companies | Defamation; SEBI misinformation concern | Story content (Ch 5 war, Ch 7 banks, Ch 8 election) | Medium | Content rule: every story entity fictional; reviewed before each chapter ships | Before that feature ships | Not started |

## Risk map




The top-right four are in the build today and are copy or content changes; the two planned features beside them should stay unbuilt until counsel signs off.

## SEBI

The game is not a SEBI-regulated activity while it stays a closed simulation with virtual coins, but SEBI has said that virtual trading, paper trading and fantasy games "based on stock price data of listed companies" violate the SCRA 1956 and the SEBI Act 1992 (caution of 4 Nov 2024). That is the single biggest exposure: the game names 39 real listed companies and two NSE indices, and the planned Time Machine would use their real historical prices.

| SEBI rule | What it says | Where the game stands | Fix |
|---|---|---|---|
| Caution on virtual trading / fantasy games, 4 Nov 2024 (Khaitan, Moneylife) | Apps offering virtual trading, paper trading or fantasy games on listed-company price data violate SCRA and SEBI Act; users have no SEBI recourse. Builds on a 2016 caution against securities "leagues" with prize money. | Story and Free Play use real names (Reliance, HDFC Bank, TCS…) with synthetic 2030 prices, so no real price data today. Planned Time Machine = real historical prices of listed companies, the exact pattern SEBI named. | Replace real companies with fictional ones in Story and Free Play (or get a written legal opinion before keeping them). Time Machine: licensed data only, no prizes or stakes, legal sign-off before launch, or use anonymised replays ("Bank A, 2008"). |
| Price data for education, circular HO/47/17/12(11)2025-MRD-POD3/I/11107/2026, 8 May 2026, in force 1 Jul 2026 (LiveLaw, CorpLaw Updates) | A person "solely engaged in education" may not use market price data from the preceding 30 days to name or show a security in a way that implies future price, advice or a recommendation. Replaced the 3-month lag of 29 Jan 2025; exchanges and brokers may share data for education only with a 30-day lag. | Synthetic prices are not market price data. Risk sits in Time Machine, Academy lessons and any marketing that shows a real stock with recent prices or direction words ("likely to rise"). | Never show real prices younger than 30 days; never pair a real security with a forward-looking line; put the as-of date on every historical chart. |
| Investment Adviser / Research Analyst rules: no unregistered advice | Buy / sell / hold calls on specific securities need IA or RA registration; SEBI has acted against "trading academies" that recommended stocks in class. | Copy rules in the spec are good ("a principle, never a specific stock"), but the stock terminal's factor strip, "Why markets moved" lines and mentor dialogue attach direction to real names, and the prediction desk's hedge hints point at holdings. | Mentors and alerts talk about fictional companies or asset classes only; review every string that names a real security; add "simulated" to every real-name price surface. |
| Ban on regulated entities associating with unregistered advisers or performance claimers, amendments of 26 Aug 2024 (Nishith Desai) | Brokers, exchanges and depositories may not associate with anyone giving unregistered advice or making return claims; only recognised "specified digital platforms" are carved out. | Matters the moment you add a broker sponsor, a "open a demat account" link or a brokerage referral. | No broker or AMC tie-ups, affiliate links or demat CTAs until a lawyer clears the structure; never market with return claims ("players made 40%"). |
| Opinion trading caution, Apr 2025 | Binary event contracts are not securities; SEBI warned investors off such platforms. | Planned Prediction desk is event contracts in game form. | Covered under Online gaming law below. |

## Online gaming law

As built — free coins that cannot be bought, won as money or cashed out — Market Survivor is an "online social game" under the Promotion and Regulation of Online Gaming Act 2025, which is allowed. The Act bans "online money games" outright (up to 3 years and ₹1 crore for offering one, up to 2 years and ₹50 lakh for advertising one, per PRS), and "other stakes" includes coins and tokens convertible to money. The Rules 2026 (notified 22 Apr 2026, in force 1 May 2026, per Khaitan) add duties every game provider must meet.

| Item | What the law says | Game today / planned | Fix |
|---|---|---|---|
| Money game ban ("other stakes") | A game where users pay money or stakes, including coins or credits convertible to money or bought with money, expecting winnings, is banned whatever the skill involved. | Coins are free; no purchase and no cash-out (prd.md). Planned Time Machine "stakes" and Daily Challenge rewards are coins only. | Write it into the Terms and the code: no coin packs, no paid boosts that add coins, no rewards redeemable outside the game (cash, gift cards, merch). Monetise only through ads or a flat subscription unrelated to coins. |
| Prediction desk | Opinion trading is being treated as online money gaming; SEBI said on 30 Apr 2025 such yes/no platforms are outside its protection and flagged investment-style words like "profits" and "stop loss" (Moneylife). | Planned YES/NO markets on story events, including the war and election chapters, that "pay ₹100 per share". | Ship without it at launch, or: coins only (no ₹ sign on payouts), fictional events only (no real elections, wars or sports), rename it a "forecast challenge". |
| Contests, leaderboards, prizes | Rules call out gamified contests and leaderboards for review; SEBI warned in 2016 against securities "leagues" with prize money. | Daily Challenge, leaderboards and XP in the spec. | Never attach cash, vouchers or sponsor prizes; keep rankings virtual. |
| Grievance redressal (Rules 2026) | Every provider runs a grievance mechanism; users can escalate to the Online Gaming Authority within 30 days of your decision. | No contact or complaint path in the app. | Name a grievance officer, add an in-app complaint form, publish response times. |
| User safety features (Rules 2026) | Age verification, parental controls and time limits must be described if the Authority asks for a determination. | None. | Add an age gate and play-time reminders now; cheap, and they also serve the DPDP duties below. |
| Data retention in India (Rules 2026) | Social game providers keep traffic data and metadata on computers in India for as long as directed. | Hosting not chosen; dev data sits in local JSON files. | Host the database and logs in an Indian region. |
| Status claims | You may not present a game as approved or registered unless that status was granted. | No such claims yet. | Never use "approved", "SEBI-registered" or government badges in the app or marketing. |

## Market data and trademarks

The clearest IP problem is the index names: NSE Indices says no one may "develop, produce or create any product that uses, is based on, or is made in connection with" its indices without prior written consent (niftyindices.com disclaimer), and the game computes and displays its own "Nifty 50" and "Bank Nifty". Real company names are a softer risk; real exchange data is a licence question.

| Item | Rule | Where the game stands | Fix |
|---|---|---|---|
| Index names (Nifty 50, Bank Nifty) | NIFTY marks belong to NSE Indices; products based on its indices need written consent (disclaimer). | `packages/content` defines NIFTY50 and BANKNIFTY; the treasury bar, World desk, halt card ("Nifty 50 fell 10.4%"), landing tape and circuit breakers all use the names. | Rename to fictional indices (for example "Survivor 50" and "Bank Index") everywhere a player sees them; keep internal ids if you like. Or ask indices@nse.co.in for written permission. |

| Item | Rule | Where the game stands | Fix |
|---|---|---|---|
| Real company names | Trade Marks Act 1999 s.30 allows use that identifies the owner, in line with honest practices, without unfair advantage or harm to the mark's repute. Delhi HC refused Tata an injunction against Greenpeace's game in 2011 (SpicyIP), but that was an interim, non-commercial campaign case. | 39 real listed names (Reliance, HDFC Bank, Bajaj Finance…), no logos. Fake prices, crashes and "frozen" positions are shown against real brands. | Preferred: fictional companies per sector ("Indus Private Bank", "Coastline Paints"). If real names stay: no logos ever, a "Simulated prices. Not affiliated with any company named" line on every price surface, and never tie a real name to a story event (fraud, collapse, scandal). |
| Exchange data (Time Machine, calibration pipeline) | NSE's site terms bar "systematic or automated data collection" and any copying or redistribution of its data (NSE terms of use); data for education may be shared only with a 30-day lag (SEBI, see above). | Time Machine and the Python calibration pipeline plan to use licensed historical EOD data; `DATA_SOURCES.md` does not exist yet. | Buy a display + redistribution licence from NSE Data & Analytics or an authorised vendor before Time Machine ships; never scrape nseindia.com; record every source and its licence in `DATA_SOURCES.md`. |
| Chart library | lightweight-charts (Apache-2.0) must name TradingView as creator and link to tradingview.com; the `attributionLogo` option satisfies the link (GitHub). | Logo kept on the Stocks chart. | Keep it; add the NOTICE text to an "Open-source licences" page with three.js (MIT) and the Google Fonts (OFL). |
| Game art | Must be original or licensed. | All art is generated by our own Blender scripts. | Nothing to change; keep the scripts as proof of origin. |

## Privacy and minors

The target audience (16–28) includes children: under the DPDP Act 2023 anyone under 18 is a child, and their data needs verifiable parental consent with no tracking, behavioural monitoring or targeted ads (EY). The DPDP Rules 2025 were notified on 13 Nov 2025; the core duties (notice, consent, children, security, breach reporting, retention) apply from 14 May 2027 (DPDP rules tracker), and MeitY proposed in Jan 2026 to pull that to 12 months, with no final decision reported (Storyboard18). Build for it now: the fines go up to ₹250 crore for weak security and ₹200 crore each for missed breach notices and children's-data failures (Schedule).

| Duty | What it requires | Where the game stands | Fix |
|---|---|---|---|
| Children (s.9, Rule 10) | Verifiable consent of a parent or guardian before processing an under-18's data; no tracking, behavioural monitoring or targeted ads aimed at children. | No age question at all; audience includes 16–17 year olds; the spec scores "behaviour" (panic sells, discipline) for grades and endings. | Simplest: launch 18+ only with an age gate and say so in the Terms. Otherwise build parental consent (DigiLocker-style token or parent verification), switch off analytics profiling and ads for minors, and keep behaviour scoring inside the game only. |
| Notice and consent | A plain, itemised notice of what is collected and why, how to withdraw consent and complain; consent by a clear affirmative act. | No privacy notice; an anonymous `ms_pid` cookie is set on first visit; the main site's login (name, email) will be added later. | Publish a Privacy Notice before launch; show it at sign-up with an explicit "I agree"; keep the cookie strictly functional and say so. |
| Security and breach reporting | Reasonable safeguards (encryption, access control, logs); tell the Data Protection Board and affected users of a breach, with a full report within 72 hours. | Dev store is plain JSON files; career seeds stored unencrypted (noted in `server/careers.ts`); no logging or incident plan. | Postgres with encryption at rest, hashed seeds (security.md T-10), access logs, and a written breach-response runbook. |

| Duty | What it requires | Where the game stands | Fix |
|---|---|---|---|
| Retention and erasure | Purpose-bound retention; delete when no longer needed, with 48 hours' notice before erasure; gaming platforms above the user threshold delete within 3 years of last interaction. | Careers and day logs are kept forever. | Retention policy (for example delete inactive careers after 3 years, warn by email 48 hours before), plus a "Delete my data" button. |
| Grievance officer | Grievances answered within 90 days; contact published. | None. | One grievance contact can serve both DPDP and the Online Gaming Rules. |

## Advertising, consumer and content rules

These bite mostly on how the game is marketed, not on the code: crypto ads need ASCI's fixed warning, influencers may not give stock tips unless SEBI-registered, and the Central Consumer Protection Authority bans 13 dark patterns. In the game itself, the main fixes are the fake index tape on the landing page and keeping every story entity fictional.

| Area | Rule | Where the game stands | Fix |
|---|---|---|---|
| Crypto desk in ads | ASCI (in force 1 Apr 2022): every ad featuring crypto must show "Crypto products and NFTs are unregulated and can be highly risky. There may be no regulatory recourse for any loss from such transactions"; no words like "currency", "securities" or "custodian"; no comparison with regulated assets (Khaitan). | Planned Crypto desk with a custody switch and the fictional exchange "Vaultex". | Any trailer, post or store screenshot showing crypto carries the ASCI warning; never pitch crypto returns against stocks; show the same warning once inside the Crypto desk. |
| Influencer marketing | ASCI (18 Aug 2023): influencers giving investment advice must be SEBI-registered and show their number; paid posts carry an ad label (Moneylife). | Likely launch channel for a 16–28 audience. | Brief creators to talk about the game only, no stock picks; label every paid post; don't hire tip-sellers. |
| Dark patterns | CCPA Guidelines of 30 Nov 2023 ban 13 patterns (false urgency, confirm-shaming, drip pricing, basket sneaking, forced action, subscription traps, interface interference…); a 5 Jun 2025 advisory asked 50+ platforms for a self-audit (Bar & Bench). | Spec has streaks, Daily Challenge, XP and Time Machine cooldowns; copy rules already forbid mocking players. | Run a written self-audit before launch: no fake timers, no guilt copy, one-tap exit and account deletion, one-click cancel if a subscription is ever added. |
| Misleading claims | Ads and in-app claims must be truthful (Consumer Protection Act 2019, ASCI code). | The landing page shows a "market tape" ("Nifty 50 ▲ 0.62%", "Gold ▲ 0.31%") that looks like live market data; it is made up. | Remove it, or replace it with clearly in-game values labelled "In-game world". Never claim players will "earn" or "become traders". |
| Story content | Real companies, people, parties or countries in crashes, frauds, wars or elections invite defamation claims and the SEBI misinformation concern above. | Spec already uses fictional countries (Solvane, Qarath) and a fictional exchange; real company names sit beside story shocks; an election chapter feeds the prediction desk. | Keep every entity in story events fictional, including parties and leaders; no real party symbols or flags; never link a real company to a scandal or collapse. |
| Disclaimer line | design.md requires "Virtual coins only. Educational simulation, not investment advice." on every trading screen. | Present in the game footer and landing page. | Extend it: "Prices are simulated. Not affiliated with NSE, BSE or any company named. Not registered with SEBI; no investment advice." |

## Launch checklist

The edits below close every "Before launch" item in the register; most are content and copy changes, not engine work.

### Game content and copy

- [ ] Replace the 39 real companies in `packages/content/src/universe.ts` with fictional ones, one per sector, same loadings and weights (L-01, L-07)
- [ ] Rename the displayed indices from "Nifty 50" / "Bank Nifty" to fictional names in content, alerts (`server/careers.ts`), halt card, World desk, Treasury bar and engine error copy (L-02)
- [ ] Remove the invented market tape from the landing page or label it "In-game world" (L-03)
- [ ] Extend the disclaimer on every trading screen: simulated prices, not affiliated with NSE, BSE or any company, not SEBI-registered, no investment advice (L-06)
- [ ] Review every player-facing string that pairs a security with a direction ("falls when oil rises", mentor lines, alerts) once names are fictional (L-07)
- [ ] Add an "Open-source licences" page with the TradingView NOTICE, three.js and font licences (L-18)

### Legal pages and user rights

- [ ] Age gate at career creation: 18+ for launch (L-04)
- [ ] Privacy Notice and Terms of Use, accepted with an explicit tick at first play (L-05)
- [ ] Terms clause: coins are free, cannot be bought, sold, transferred or exchanged for anything outside the game (L-08)
- [ ] Grievance officer name and email in the footer, plus an in-app complaint form with a published response time (L-05)
- [ ] "Delete my data" button that removes careers and day logs (L-14)

### Infrastructure

- [ ] Move from the JSON file store to Postgres with encryption at rest; hash the career seed (L-13)
- [ ] Host database and logs in an Indian cloud region (L-14)
- [ ] Write a retention policy and a 72-hour breach-response runbook (L-13, L-14)

### Process

- [ ] Dark-pattern self-audit of streaks, challenges and alerts, kept on file (L-17)
- [ ] Get a written opinion from an Indian securities and gaming lawyer on the final build before going live
- [ ] Before each later feature (Prediction, Time Machine, Crypto, leaderboards, Story chapters), re-check its row in the register (L-09 to L-12, L-19)

## Sources

Pages opened for this review. Most are law-firm or press summaries; NSE's and MeitY's own sites blocked automated reading, so confirm exact wording against the official gazette or circular before relying on it.


- Khaitan & Co — SEBI cracks down on unauthorised gaming and trading platforms (caution of 4 Nov 2024)
- Moneylife — SEBI warns about unauthorised virtual trading, gaming platforms
- LiveLaw — SEBI revises norms for sharing and usage of price data for education (8 May 2026)
- CorpLaw Updates — SEBI's 30-day lag rule
- Nishith Desai — regulators' quest against unfiltered financial advice (Aug 2024 amendments)
- Moneylife — SEBI warns about opinion trading platforms (Apr 2025)
- PRS — Online Gaming Bill 2025 summary
- Khaitan & Co — Online Gaming Rules 2026
- NSE Indices — website disclaimer
- NSE — website terms of use
- SpicyIP — Tata loses infringement case against Greenpeace's game
- TradingView lightweight-charts — licence and attribution
- EY — DPDP Rules 2025 guide
- DPDP rules tracker — effective dates
- DPDPA — the Schedule of penalties
- Storyboard18 — MeitY proposes 12-month DPDP timeline
- Khaitan & Co — ASCI crypto and NFT advertising guidelines
- Moneylife — ASCI rules for financial influencers
- Bar & Bench — India's framework for dark patterns


This review is research to brief a lawyer, not legal advice. Have an Indian securities, gaming and data-protection lawyer sign off on the final build.